Priced to Stand Still — receive Brazil 5s10s

21 Jul 2026

A 14.25% Selic priced to stay: a DV01-neutral 5s10s steepener in Brazilian prefixado, paid +2.8 bp/3m to own a cutting cycle the curve ignores. Local-currency sovereign curve RV; data and code reproduce from a public repository.

Thesis

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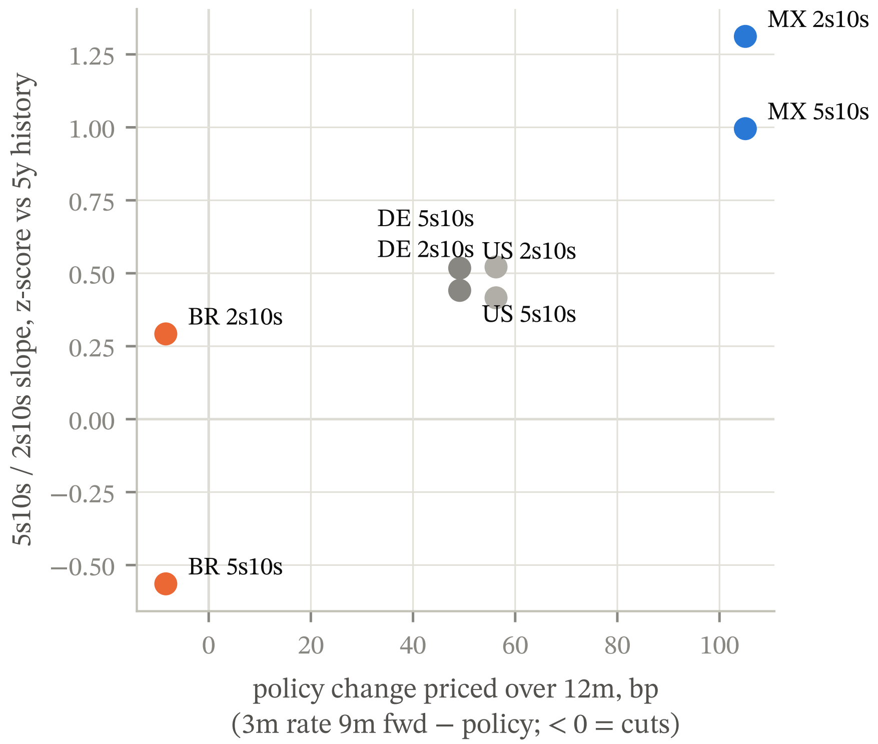
- The forward curve prices the Selic −8.4 bp from 14.25% a year out, a cutting cycle priced at zero. [state your disinflation / real-rate view here]
- 5s10s sits at +3.9 bp against a 5y mean of +15.7 bp (z −0.56). The belly carries no premium for the cycle; when cuts get priced, the 5y rallies against the 10y and the slope normalizes toward its mean.
- The position pays +2.8 bp/3m per unit DV01 to wait. Being early costs nothing; being right is worth one to two σ (20.9 bp per σ).

What is priced

I read each fitted curve's short end as a policy path: the implied 3m rate 9m forward minus the current policy rate. Brazil is the only market where that number is negative, −8.4 bp against a 14.25% Selic. Mexico prices +105.1 bp from 6.81%, and the US and Germany sit between (table, p. 2). The metric inherits the 1y sector's term premium, so its level overstates hikes everywhere; the cross-market ranking, which is what the trade uses, survives that bias (Appendix C). Against this pricing, BR 5s10s is flat to its own 5y history while every other curve in the set is steep to normal, the combination the steepener monetizes.



Source: Banxico SIE, Tesouro Direto, US Treasury, Bundesbank; author's calculations.

Figure 1. Brazil alone prices no cuts on a curve flat to history; the steepener needs the cycle *priced*, not delivered.

THE TRADE

INSTRUMENTS
receive BR 5y, pay BR 10y (prefixado, NTN-F basis)

DIRECTION
DV01-neutral steepener

SIZING
1.00 in 5y per 1.00 of 10y; heavy discounting at 14.71% equalizes zero-coupon DV01s

ENTRY
5y 14.67% / 10y 14.71%; slope +3.9 bp

CARRY + ROLL
+2.8 bp per 3m per unit DV01; 0.06 per unit of 3m vol (49.6 bp)

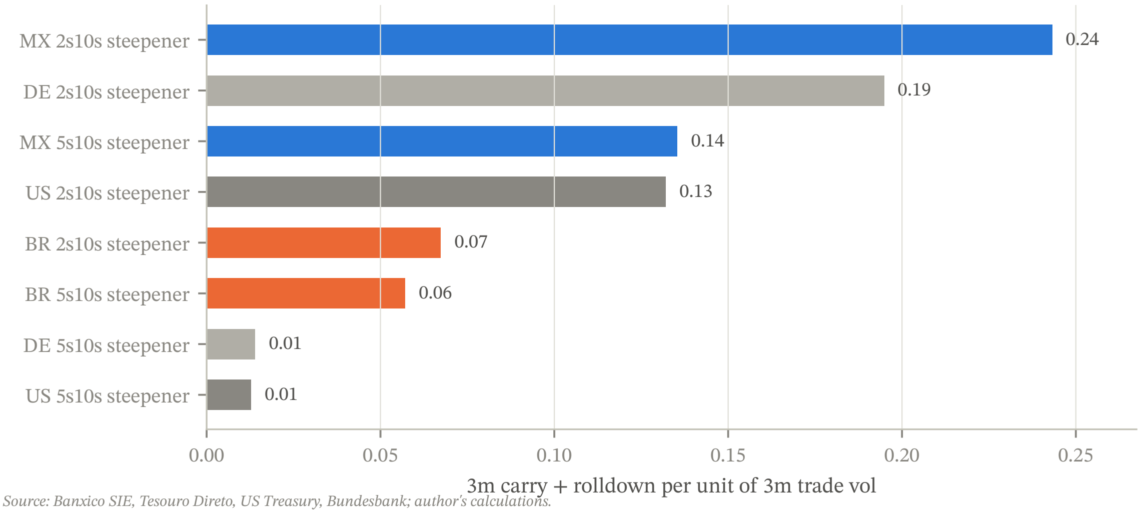
INVALIDATION
slope −17.0 bp, one 5y σ against (σ = 20.9 bp)

HORIZON
3m, rolled while the path stays unpriced

KEY RISK
renewed hikes flatten 5s10s through the exit; worst 3m of the past 5y is −83.2 bp

Carry across the candidate set

Mexico's 2s10s steepener is the best-paid trade per unit of risk (+17.2 bp/3m on 70.8 bp vol, ratio 0.24), but it enters +1.31 σ steep to its 5y history with +105.1 bp of hikes already in the forwards, so its carry and its mean-reversion point in opposite directions. Brazil's ratio is smaller (0.06) and its signals agree. A cross-market check isolates the local story: BR minus US 5s10s sits at −27.5 bp (z −0.75) and the two slopes' daily changes are uncorrelated (0.00), so Brazil's flatness is not imported global duration, it is local pricing.



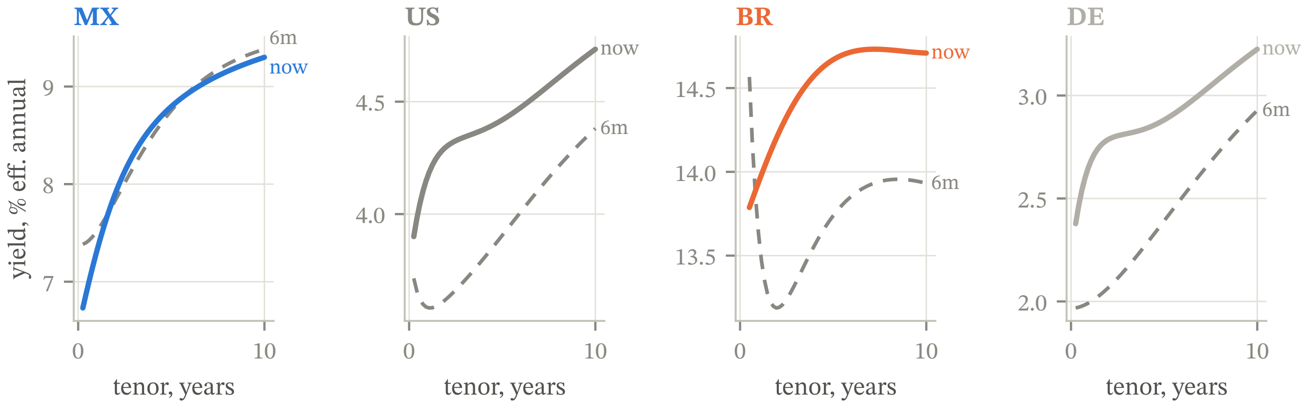
Source: Banxico SIE, Tesouro Direto, US Treasury, Bundesbank; author's calculations.

Figure 2. MX pays most per unit of risk but against a +1.31 σ-steep slope; BR's smaller ratio buys a trade whose carry and z-score agree.

Cross-market state

Trade	Policy %	Path 12m bp	Slope bp	z (5y)	C+R bp/3m	Vol bp	C/V	Exit bp
MX 2s10s	6.81	+105	+139	+1.31	+17.2	71	0.24	+26
MX 5s10s	6.81	+105	+50	+1.00	+6.4	47	0.14	+11
US 2s10s	3.88	+49	+43	+0.52	+3.4	26	0.13	−13
US 5s10s	3.88	+49	+31	+0.44	+0.2	18	0.01	+10
BR 2s10s	14.25	−8	+50	+0.29	+4.1	61	0.07	−6
BR 5s10s	14.25	−8	+4	−0.56	+2.8	50	0.06	−17
DE 2s10s	2.31	+56	+44	+0.42	+3.4	18	0.19	−4
DE 5s10s	2.31	+56	+34	+0.52	+0.1	10	0.01	+17

C+R quoted for the steepener; Exit is the 1σ invalidation level for the positive-carry direction. Policy rates effective annual.



Source: Banxico SIE, Tesouro Direto, US Treasury, Bundesbank; author's calculations.

Figure 3. Six months repriced every curve higher; Brazil un-inverted at the front, moving the cutting cycle out rather than pricing it in.

What kills it

- **Flattening to the exit.** A move to −17.0 bp (−20.9 bp) erases 7.4 quarters of carry; I exit there rather than average.
- **The realized tail.** The worst 3m flattening of the past 5y is −83.2 bp (Nov 2021). A repeat swamps the +2.8 bp quarterly carry, this is a repricing trade, not a carry trade.
- **Measurement.** My curve is retail (Tesouro Direto): −23.1 bp vs interbank at 5y, −19.3 bp at 10y. The +3.8 bp differential biases the slope; a widening beyond the quarterly carry dominates measured P&L.

Catalysts

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- Copom communication that opens the door to easing; the front reprices first, the 5y follows hardest. [your read on timing]
- Inflation prints versus target that validate the real-rate cushion at 14.25% policy. [your numbers]
- Fiscal news steepens the 10y independently: helps the trade, but for the wrong reason; I take profit, not add.

Appendix A — method and conventions

All yields are normalized to effective annual percent. Brazil's 252-business-day exponential quotes pass through unchanged; US and MX semiannual bond-equivalent yields compound to effective annual; Cetes convert from simple act/360 discount quotes. Policy rates share the basis: overnight act/360 quotes (Banxico target, fed funds upper bound, ECB deposit rate) convert via $(1 + r/360)^{365} - 1$; the Selic target is already effective annual. I fit Nelson-Siegel (Svensson where six or more tenors exist) by least squares, linear in the betas over a bounded τ grid, no nonlinear optimizer, fully reproducible, storing RMSE per fit. Germany uses the Bundesbank's published Svensson parameters directly. Carry and rolldown are 3m static along today's fitted curve, funded at the policy rate, in bp per 3m per unit DV01 (zero-coupon approximation): $[h(y_T - r) + (T - h)(y_T - y_{T-h})] \cdot 10^4/T$, with $h = 0.25$. Trade vol is the stdev of daily fitted-slope changes over 1y, scaled by $\sqrt{66}$. Z-scores use 5y of slope levels. The invalidation rule exits when the slope moves one 5y standard deviation of levels, the z-score's own denominator, against the position.

Appendix B — fit quality and data caveats

Curve	Days	Median RMSE bp
MX	1522	9.0
US	1638	3.5
BR	1494	3.4
DE	1529	published params

Brazil's curve fits Tesouro Direto retail mids: −7.6 bp vs ANBIMA's interbank curve at 1y, −23.1 bp at 5y, −19.3 bp at 10y on the one cross-check date the public window allows. The level bias does not touch z-scores (the source is self-consistent through time); the tenor differential is the slope risk quantified on p. 2. Mexico's curve mixes weekly auction vintages (each tenor forward-filled at most 45 business days); the weekly-sampled vol cross-check reads 71.1 bp against 70.8 bp daily-based, so the staleness discount to measured vol is nil. US and MX fit par yields while BR and DE are zero curves, a stated approximation that does not reorder 2s10s/5s10s carry-per-vol rankings.

Appendix C — policy-path metric comparison

Country	Forward-path bp	Naive 2x(1y-policy) bp
MX	+105.1	+100.3
US	+49.1	+58.9
BR	−8.4	−62.1
DE	+56.3	+71.9

The naive metric, $2 \times (1\text{y} - \text{policy})$, reads Brazil at −62.1 bp of cuts because it linearly extrapolates the 1y point's dip below policy. The forward metric, the implied 3m rate 9m forward that the 1y and 9m points pin down, reads −8.4 bp. I use the forward number: it is the curve's actual statement about the policy rate a year out. Both carry the 1y term premium; neither is a clean expectation. The cross-market ranking is the robust object, not the level.

Appendix D — provenance

Every number in this note maps to a generated variable (provenance.csv, rebuilt by the report script):

variable	value	source
date	21 Jul 2026	last cached BR fit date
br_policy	14.25	fetchers.load('br_policy'), latest, effective annual
mx_policy	6.81	fetchers.load('mx_policy'), latest, effective annual
us_policy	3.88	fetchers.load('us_policy'), latest, effective annual
de_policy	2.31	fetchers.load('de_policy'), latest, effective annual
br_path12	−8.4	analytics.path_12m_bp(BR latest fit, policy)
br_naive	−62.1	analytics.naive_cuts_bp — appendix comparison only
br_slope	+3.9	BR 5s10s fitted slope, latest
br_slope_mean5y	+15.7	5y mean of BR 5s10s slope
br_sigma5y	20.9	5y stdev of BR 5s10s slope levels
br_z	−0.56	analytics.slope_zscore(BR 5s10s)
br_carry	+2.8	analytics.trade_carry_roll_bp(BR, 5, 10, steepener)
br_vol	49.6	analytics.trade_vol_3m_bp(BR 5s10s)
br_vol_wk	34.9	analytics.weekly_vol_3m_bp(BR 5s10s)
br_cv	0.06	carry / vol, BR 5s10s steepener
br_inval	−17.0	analytics.invalidation_bp(BR 5s10s)
br_y5	14.67	fitted BR 5y yield, latest
br_y10	14.71	fitted BR 10y yield, latest
br_ratio	1.00	analytics.dv01_neutral_ratio — 5y notional per 1.00 of 10y
br_rmse	3.4	median BR fit RMSE
mx_cv	0.24	carry / vol, MX 2s10s steepener
mx_carry	+17.2	analytics.trade_carry_roll_bp(MX, 2, 10, steepener)
mx_vol	70.8	analytics.trade_vol_3m_bp(MX 2s10s)
mx_vol_wk	71.1	analytics.weekly_vol_3m_bp(MX 2s10s)
mx_z	+1.31	analytics.slope_zscore(MX 2s10s)
mx_slope	+139.2	MX 2s10s fitted slope, latest
mx_path12	+105.1	analytics.path_12m_bp(MX)
box_level	−27.5	BR minus US 5s10s fitted slope
box_z	−0.75	analytics.slope_zscore(BR−US 5s10s box)
box_corr	0.00	daily slope-change correlation

variable	value	source
kill_move	−20.9	invalidation minus entry slope
kill_quarters	7.4	|invalidation move| / quarterly carry
kill_worst3m	−83.2	min 66-bday change of BR 5s10s slope, 5y window
kill_worst3m_when	Nov 2021	date of that worst 3m flattening
rb_5s10s	+3.8	retail-basis differential 10y minus 5y (slope mismeasurement)
rb_1y	−7.6	DECISIONS.md one-off ANBIMA cross-check
rb_5y	−23.1	DECISIONS.md one-off ANBIMA cross-check
rb_10y	−19.3	DECISIONS.md one-off ANBIMA cross-check
rob_rich_n	1450	robustness.reversion_counts, z>+1 events
rob_rich_hit	0.63	toward-mean hit rate, z>+1
rob_rich_move	5.5	median toward-mean move, z>+1
rob_cheap_n	3258	robustness.reversion_counts, z<−1 events
rob_cheap_hit	0.49	toward-mean hit rate, z<−1
rob_br_carry_lo	1.6	BR carry, min over pinned λ
rob_br_carry_hi	1.8	BR carry, max over pinned λ
rob_br_rmse_max	14.3	BR worst 66d rolling RMSE
rob_br_rmse_when	Feb 2021	date of BR worst rolling RMSE

Appendix E — with desk data I would extend by

DI futures replace the retail curve (live, interbank, no basis caveat); ANBIMA's subscriber ETTJ history restores interbank z-scores; option-implied vol on DI futures replaces realized vol in the sizing denominator; a funding curve (GC repo vs Selic) replaces the policy-rate funding assumption; NTN-B breakevens split the nominal steepener into real-rate and inflation legs; and execution-cost estimates from quoted spreads turn carry-per-vol into carry-per-vol net of entry.